



Building

New Paths



ARPICO INSURANCE PLC
Interim Financial Statements
For the period ended 31st March 2026

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2026

Income Statement

For the period ended 31 March	Note	Un-Audited 2026 LKR	Un-Audited 2025 LKR
Gross Written Premium	4	384,167,577	447,483,879
Premium ceded to reinsurers	5	(21,232,893)	(21,557,173)
Net written premium		362,934,684	425,926,706
Other revenue			
Fees and commission income		2,830,509	4,468,225
Investment income	6	117,975,897	139,580,223
Fair value gains		3,286,905	3,129,765
Net realized gains		-	-
Other operating revenue		488,273	681,282
Total Other revenue		124,581,584	147,859,495
Total net revenue		487,516,268	573,786,201
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(412,159,841)	(206,897,608)
Net change in insurance claims outstanding		15,811,938	(28,164,171)
Underwriting and net acquisition costs		(102,288,248)	(105,421,309)
Change in contract liabilities - life fund	7	200,356,445	(44,696,333)
Other operating, administrative and selling expenses		(140,295,372)	(134,731,309)
Depreciation and amortisation		(31,434,280)	(32,380,971)
Total benefits, claims and expenses		(470,009,358)	(552,291,701)
Profit before Taxation		17,506,910	21,494,500
Income Tax Expense	8	(11,934,776)	(9,660,350)
Profit for the Period	9	5,572,134	11,834,150
Profit attributable to:			
Equity holders of the Company		5,572,134	11,834,150
Basic Earning per Share (LKR)		0.08	0.18
Diluted Earning per Share (LKR)		0.08	0.18

Statement of Other Comprehensive Income

	Un-Audited 2026 LKR	Un-Audited 2025 LKR
For the period ended 31 March		
Profit for the Period	5,572,134	11,834,150
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	-	195,050,188
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	2,822,300	(10,905,758)
Net change in fair value of AFS reserve transferred to insurance Liabilities	(2,822,300)	10,905,758
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan	-	660,193
Total Other comprehensive income, net of tax	-	195,710,381
Total comprehensive Income for the Period, Net of Tax	5,572,134	207,544,531

STATEMENT OF FINANCIAL POSITION

As at	Note	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Assets			
Intangible assets		6,901,267	6,954,017
Property, plant and equipment		19,522,136	23,112,291
Right of use assets	10	171,997,755	198,976,482
Deferred Tax Asset		90,000,000	90,000,000
Financial assets	11	4,459,158,864	4,565,464,789
Loans to life policyholders		175,594,562	172,658,497
Reinsurance receivables		21,584,975	5,311,350
Amounts due from related parties	13	10,311,837	9,031,305
Premium receivable		64,747,713	64,996,481
Other assets		147,292,419	113,622,616
Cash and cash equivalents		30,930,408	88,426,366
Total Assets		5,198,041,936	5,338,554,194
Equity and Liabilities			
Equity			
Stated capital	16	675,564,870	675,564,870
Retained earnings		1,172,155,609	1,166,583,475
Available for sale reserves		-	-
Total Equity		1,847,720,479	1,842,148,345
Liabilities			
Insurance contract liabilities	12	2,804,095,951	3,007,274,696
Employee benefit obligation		18,192,357	18,012,333
Reinsurance payables		4,111,868	17,300,371
Lease liabilities	10	206,864,333	234,433,002
Amounts due to related parties	13	7,196,624	7,580,344
Other financial liabilities		276,123,280	191,622,027
Other liabilities		33,737,044	20,183,076
Total Liabilities		3,350,321,457	3,496,405,849
Total Equity and Liabilities		5,198,041,936	5,338,554,194

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



K.L.Y. Chamara
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the board.



Ramal Jasinghe
Chairman
12, May 2026
Colombo.



Yudhishtan Kanagasabai
Director

Arpico Insurance PLC
Interim Financial Statement- Quarter 1 - 2026

STATEMENT OF CHANGES IN EQUITY

	Stated Capital LKR	AFS Reserve LKR	Retained Earnings LKR	Total LKR
Audited Balance as at 01 January 2025	675,564,870	159,513,183	1,005,999,971	1,841,078,024
Profit for the period			11,834,150	11,834,150
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(22,712,972)		(22,712,972)
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 31st March 2025	675,564,870	136,800,211	1,017,834,121	1,830,199,202
Profit/(Loss) for the period			218,984,056	218,984,056
Actuarial loss on defined benefit plan			(1,615,576)	(1,615,576)
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(136,800,211)		(136,800,211)
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31st December 2025	675,564,870	-	1,166,583,475	1,842,148,345
Profit for the period			5,572,134	5,572,134
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		-		-
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 31st March 2026	675,564,870	-	1,172,155,609	1,847,720,479

STATEMENT OF CASH FLOWS

For the period ended 31 March	Un-Audited 2026 LKR	Un-Audited 2025 LKR
Cash flows from operating activities		
Insurance premium received	388,315,791	436,793,426
Reinsurance premium paid	(34,421,397)	(30,790,959)
Insurance benefits and claims paid	(414,962,665)	(231,222,253)
Reinsurance claim received	18,618,491	6,086,684
Other operating cash flows	(206,916,519)	(258,346,817)
Cash generated from operating activities	(249,366,299)	(77,479,919)
Tax Paid	(2,280,166)	(2,586,308)
Employee benefits paid	(1,750,000)	(273,500)
Net cash generated from operating activities	(253,396,465)	(80,339,727)
Cash flows from investing activities		
Acquisition of financial investments	(51,173,927)	(158,523,892)
Proceeds from sale/maturity of investment securities	157,479,852	297,697,540
Interest/Dividend received	117,975,897	139,580,223
Acquisition of property, plant and equipment	(812,648)	-
Net Acquisition of ROU Asset	(27,568,670)	(28,619,733)
Net Cash Used in Investing Activities	195,900,506	250,134,138
Net Cash Flows Before Financing Activities	(57,495,959)	169,794,412
Cash flows from financing activities		
	-	-
Net cash used in financing activities	-	-
Net increase / (Decrease) in cash and cash equivalents	(57,495,959)	169,794,412
Cash and cash equivalents at the beginning of the year	88,426,367	53,869,098
Cash and cash equivalents at the end of the period	30,930,408	223,663,510

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 31st March 2026 were authorised for issue by the Board of Directors on 12th May 2026.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2024. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2024.

4. Gross Written Premium

For the Period Ended 31 March	Un-Audited 2026 LKR	Un-Audited 2025 LKR
First year premium	114,612,688	164,619,484
Renewal premium	263,011,870	271,704,874
Group premium	6,543,019	11,159,521
	384,167,577	447,483,879

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 31 March	Un-Audited 2026 LKR '000	Un-Audited 2025 LKR '000
Conventional policies		
Total premium ceded to reinsurers	21,232,893	21,557,173
Total net written premium	362,934,684	425,926,706

Notes to the Financial Statements

6. Investment income

For the Period Ended 31 st March	Un-Audited 2026 LKR	Un-Audited 2025 LKR
Held to maturity financial assets		
Interest Income	30,167,283	42,818,073
Loans and receivables		
Interest Income	79,913,064	68,979,640
Available For Sale Financial Assets		
Interest Income	7,895,550	8,032,100
Dividend income	-	19,750,410
	<u>117,975,897</u>	<u>139,580,223</u>

7. Change in contract liabilities - life fund

As per the requirement of SLFRS 4 , Liability Adequacy Test with respect to Life insurance provision was performed as at 31st December 2025 .

8. Income Tax Expense

For the Period Ended 31 st March	Un-Audited 2026 LKR	Un-Audited 2025 LKR
Income tax on current period profit	11,934,776	9,660,350
Total current income tax	<u>11,934,776</u>	<u>9,660,350</u>

9. Profit/(Loss) from life insurance

No surplus or deficit transfer has been made from the life insurance fund to the Income Statement for quarter ended 31st March 2026.

10. Right of Use Assets

As at	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Opening balance	198,976,482	171,032,028
Additions/(Disposals) of right of use lease asset during the period	(2,889,100)	129,713,492
Depreciation for the period	(25,534,177)	(106,945,112)
Advance payment for leases	1,444,550	5,176,074
Closing balance	<u>171,997,755</u>	<u>198,976,482</u>
Lease liabilities		
As at	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Opening balance	234,433,002	208,113,822
Additions during the period	(2,889,100)	129,713,492
Finance cost recognised in profit and loss	7,023,110	34,317,346
Lease payments	(31,702,679)	(137,711,658)
Closing balance	<u>206,864,333</u>	<u>234,433,002</u>

Notes to the Financial Statements

11. Financial Assets

As at	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Loans and receivables (11.1)	3,183,132,285	3,275,245,648
Available-for-sale financial assets (11.2)	321,914,700	335,716,450
Held to Maturity (11.3)	806,093,160	809,770,877
Fair Value through profit & Loss (11.4)	148,018,719	144,731,814
	<u>4,459,158,864</u>	<u>4,565,464,789</u>

11.1 Loans and receivables

	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Amortised cost		
Debentures	471,273,426	471,211,422
Fixed deposit	1,628,571,310	1,584,845,290
Reverse repurchase agreements	911,272,207	1,051,272,593
RPAF loan	-	-
Commercial Paper	172,015,342	167,916,343
	<u>3,183,132,285</u>	<u>3,275,245,648</u>

11.2 Available-for-sale financial assets

	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Treasury bonds	321,914,700	335,716,450
Quoted equities	-	-
	<u>321,914,700</u>	<u>335,716,450</u>

11.3 Held to Maturity

	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Treasury bonds	806,093,160	809,770,877
	<u>806,093,160</u>	<u>809,770,877</u>

11.4 Fair Value through profit & Loss

	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Unit trust	148,018,719	144,731,814
	<u>148,018,719</u>	<u>144,731,814</u>

12. Insurance Contract Liabilities

As at	Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Balance as at 1 January	3,007,274,696	2,715,710,389
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(200,356,445)	48,812,167
Surplus transferred from / (to) shareholders		218,181,228
Increase in life insurance fund	(200,356,445)	266,993,394
Movement in AFS reserve transferred to life fund	(2,822,300)	24,570,913
Life Insurance Fund balance as at period end	<u>2,804,095,951</u>	<u>3,007,274,696</u>

13. Related Party Transactions

13.1 Amounts Due to Related Party

As at		Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	7,196,624	7,580,344
Richard Pieris Distributors Limited	Fellow Subsidiary	-	-
		<u>7,196,624</u>	<u>7,580,344</u>

13.2 Amounts Due From Related Parties

As at		Un-Audited 31.03.2026 LKR	Audited 31.12.2025 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	-
Richard Pieris Distributors Limited	Fellow Subsidiary	10,311,837	9,031,305
		<u>10,311,837</u>	<u>9,031,305</u>

Investments in related parties

As at		Un-Audited 31.03.2026 LKR	Un-Audited 31.12.2025 LKR
Related Party	Relationship		
Richard Pieris Finance PLC	Fellow Subsidiary	147,015,189	143,583,847

14. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31 March 2026, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

15. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

16. Stated Capital

As at 31 st March	Un-Audited 2026 LKR	Audited 2025 LKR
Ordinary Shares	675,564,870	675,564,870
	<u>675,564,870</u>	<u>675,564,870</u>
No of Ordinary Shares	66,230,407	66,230,407

17. Share Information

17.1 Net Assets Per Share

As at 31 st March	Un-Audited 2026 LKR	Un-Audited 2025 LKR
Net Assets Per Share	27.90	27.63

17.2 Market Price Per Share

For the quarter ended 31 st March	2026 LKR	2025 LKR
Highest Price	39.30	27.40
Lowest Price	28.90	25.10
Closing Price	29.70	25.10
Market Capitalization	1,967,042,969	1,662,383,216
Float Adjusted Market capitalization	196,922,868	166,423,040

18. Public Shareholding

For the quarter ended 31 st March	2026 No of Shares	%	2025 No of Shares	%
Public Shareholding	6,630,400	10%	6,630,400	10%
Number of Shareholders representing public holding	866		693	

The Company has complied with the Minimum Public Holding Requirement in accordance with Section 7.14.1 (i)(b) of the Listing Rules of the Colombo Stock Exchange.

19. Directors' Shareholding

As at 31 st March	2026	2025
Mr. Ramal Jasinghe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mr. Yudhistran Kanakasabai	Nil	Nil
Mr. Kelum Sennayake	N/A	Nil
Mr. Rohan Muttiah	Nil	N/A
Mr. Naresh A Tillekeratne	Nil	N/A

20. Twenty Largest Shareholders as at 31st March 2026

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA DINAL GITANJAN	918,919	1.39%
5 MR.R.C.D.DE SILVA RUWANPURA CHANAKA DHARMAJITH	788,138	1.19%
6 MRS.T.T.A.DE SILVA WEERASOORIA THUSHARIE TILOTTAMA ANJALEE	622,237	0.94%
7 MR.R.P.WEERASOORIYA RAJINDA PRIYANJITH	526,980	0.80%
8 MR.D.ABARATHAMANICKAM DIVEK AMRITH	500,000	0.75%
9 MR.S.SENTHILNATHAN SHANMUGAN	451,760	0.68%
10 MR.B.T.DE S WEERASOORIA BUDRIKA TARUSHA	431,945	0.65%
11 T R L HOLDINGS (PVT) LIMITED	314,214	0.47%
12 MR.D.P.NAVARATNAM DINESH PRAKASH	132,250	0.20%
13 UNIVERSAL CAPITAL HOLDINGS (PVT) LTD	125,000	0.19%
14 FINEXTRA CAPITAL (PVT) LTD	100,467	0.15%
15 MR.W.G.C.SILVA WELHENAGE GAYAN CHAMINDA	100,000	0.15%
16 FLYBRUNEI SDN BHD	99,700	0.15%
17 MR.T.A.N.GOMIS THONDAMAN ARACHCHIGE NALAKA	98,825	0.15%
18 MR.S.A.OBEYESEKERE SIRIDEV AJIT	93,300	0.14%
19 MISSN.SIVAPRAGASAM NILANTHI	90,000	0.14%
20 MR.M.L.A.BENEDICT MARK LAWRENCE AJIT	81,172	0.12%
Others	65,074,910	98.26%
Total	1,155,493	1.74%
	66,230,403	100.00%



ARPICO INSURANCE PLC

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